

23 KEY #1: FORMULATE CLEAR-CUT INVESTMENT GOALS

No one should invest without having an ultimate purpose for the money. You may be laying money aside for education or retirement, but you should have an ultimate, clear-cut financial goal. I'd like to briefly discuss some realistic goals.

RETIREMENT GOAL. There is nothing wrong with retirement planning, provided that it's kept in balance. But in our society today, an 18-year-old goes out looking for a job with a good retirement plan. Many people look forward to retirement only because they hate the jobs they're in.

You should be where you can serve God best. If you are, retirement becomes less an issue. Obviously, since you may not be able to do the same work at 65 or 70 that you're able to do at 25 or 30, you may need to lay money aside to supplement your income later. In fact, retirement savings can allow you to volunteer for a Christian organization without the need for a salary.

The long-range goal of retirement will vary depending on the age and income of every individual. If you're a 25-year-old, your total perspective should be long-range growth and flexibility (diversity) of investments. The amount you will need to invest per month or year is significantly less than someone age 45.

This same rule is true regardless of the long-range financial goal (retirement, education, et cetera). The longer the time period in which to plan, the less initial money it takes. However, different criteria apply to long-range investing, including hedging against inflation, depression, and financial collapse. Therefore, the actual investments you would select for retirement in 40 years are different than those you might select for retirement in, say, 10 years.

We'll review some actual investments later, but suffice it to say that a U.S. Treasury bill, paying 7 percent, may perfectly fit the retirement plan for a 65-year-old widow and be totally inappropriate for a 30-year-old attorney. Certainly, that would